Practice workbook · Converting currencies with an exchange rate

Converting a price or value between currencies using a quoted exchange rate, multiplying or dividing according to the direction of the quote.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-23

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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1. Question 1 · part e · 2 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

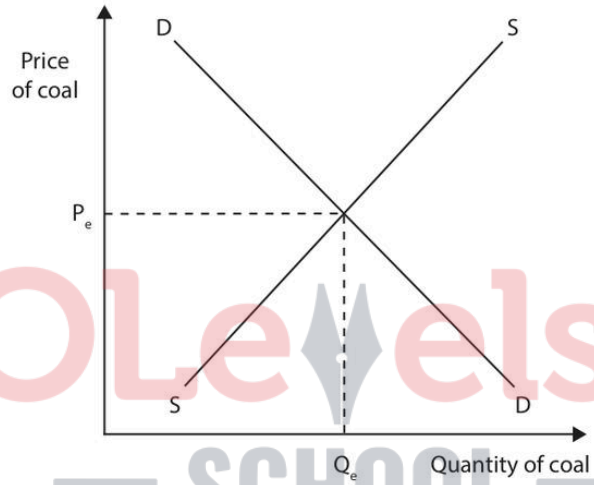


Figure 1

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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2. Question 1 · part e · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

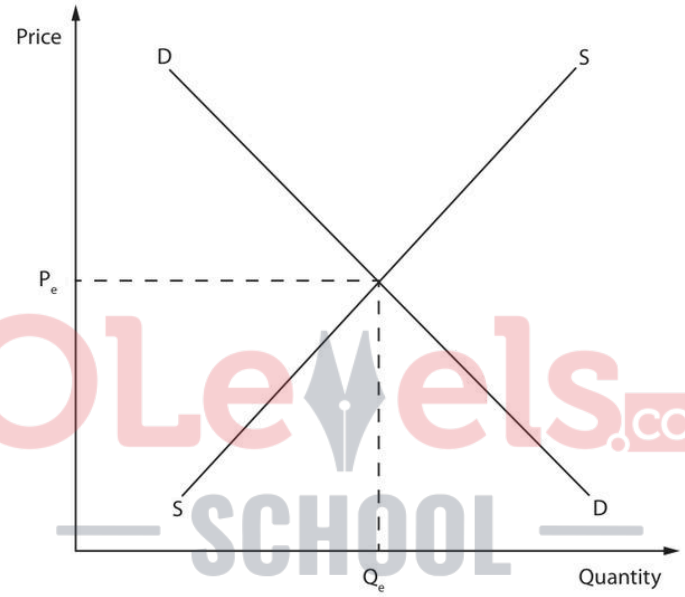


Figure 1

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2. Question 1 · part e · 2 marks · Working and answer

Working and answer

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3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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2

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3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) What is meant by the term shoe leather costs?

(2)

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(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3. Question 1 · part e · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

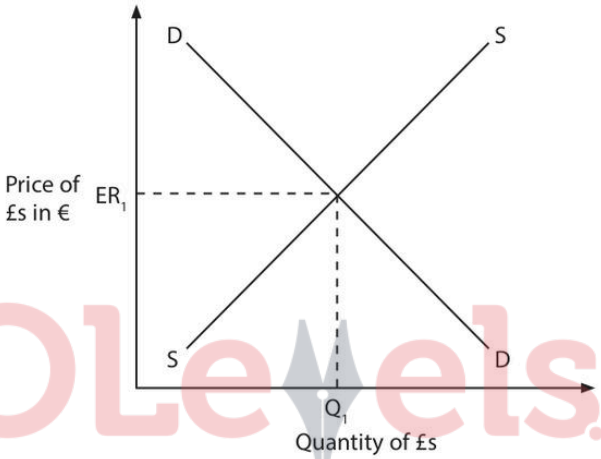


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(d) What is meant by the term infant industries?

(2)

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

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4. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

In December 2019, the USA imposed a 10% tariff on toys imported from China.

(f) Using the diagram below, draw the likely effect of the introduction of this tariff on the equilibrium price and quantity of toys imported from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

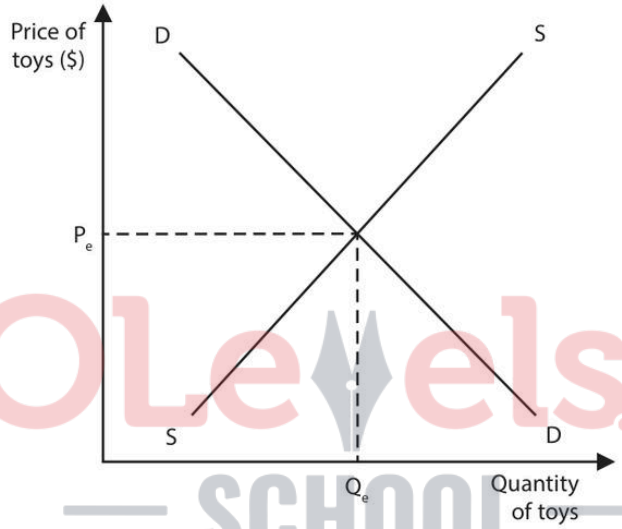


Figure 1

Economic growth in Malaysia increased to 4.9% between April and June 2019.

(g) Explain **one** disadvantage of economic growth for a country such as Malaysia.

(3)

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4. Question 1 · part e · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

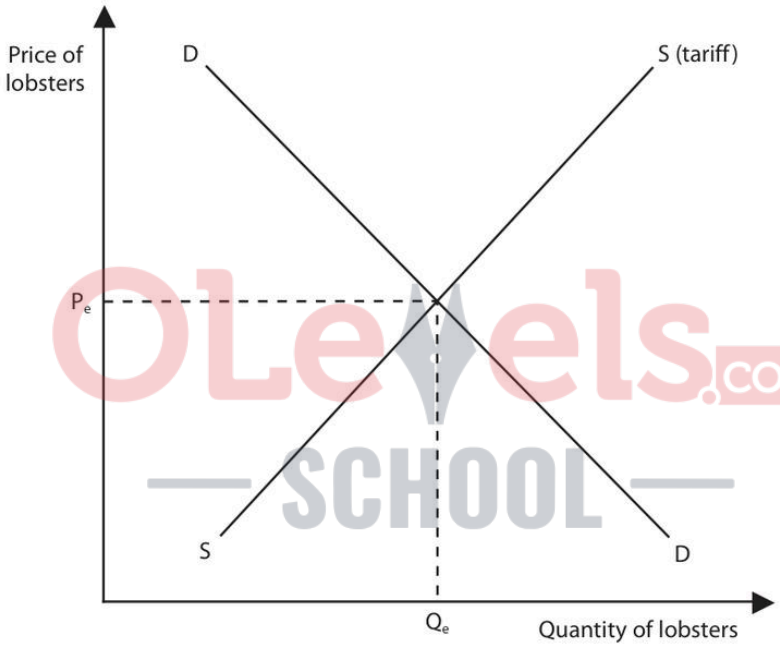


Figure 1

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5. Question 1 · part e · 2 marks · Working and answer

Working and answer

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6. Question 3 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 5 shows the adult entry fee into the Corcovado National Park in Costa Rica and the current exchange rate between the British pound (£) and the Costa Rican colón (CRC).

Entry fee for 1 adult	1 600 CRC
Exchange rate: £ to CRC	£1 = 672 CRC

Figure 5

(a) Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

Costa Rica is a developing country that relies on the export of agricultural commodities such as coffee, bananas, pineapples and vegetables. In 2022, exports from Costa Rica to the UK were valued at £516m. Vegetables and fruit accounted for 73.4% of all goods exported to the UK from Costa Rica.

(b) With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 3 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

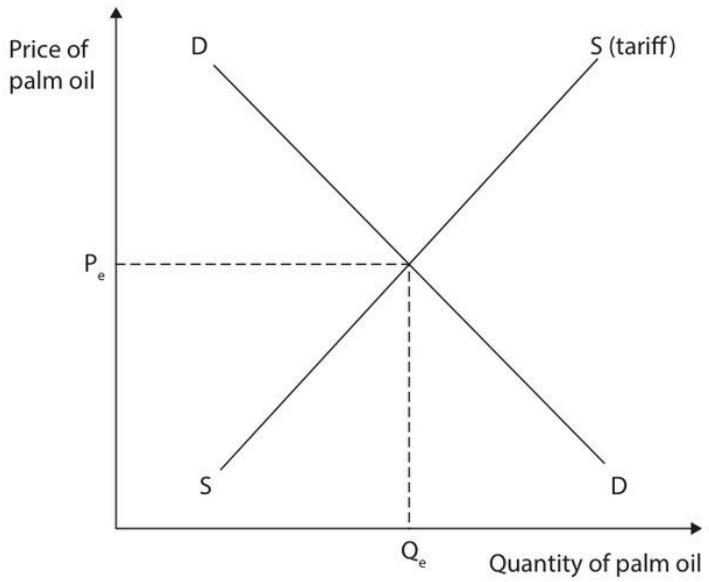


Figure 4

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8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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9. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

4 France is one of the UK's largest export markets. In 2023, the total of UK exports to France was valued at £45bn.

The average exchange rate of £ to € was £1 = €1.15 in 2023.

(a) Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.

(2)

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9. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

France is Europe's second largest consumer base with a high-income population. The French retail market is highly developed and its luxury sector is well known around the world. When exporting to France, UK firms must consider factors such as quality in order to be successful in this very competitive market.

(b) With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.

(6)

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9. Question 4 · part a · 2 marks · Working and answer

Working and answer

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